

Principles of Management

What is Management?

- "Management is a process of designing and maintaining an environment in which individuals working together in groups, efficiently accomplish selected aims/GOALS".
- Management is the process of achieving goals and objectives effectively and efficiently through and with the people.



Management defined...

- According to Harold Koontz Management is the art of getting things done through and with the people in formally organized groups with stakeholder satisfaction
- As managers, people carry out the managerial functions of planning, organizing, staffing, leading and controlling.
- Management applies to any kind of organization.
- **Organization:** a group of people working together.
 - Profit-making / business organization
 - Nonprofit/service organization



Characteristics of Management

- Management applies to managers at all organizational levels.
- The aim of all managers is the same: to create a surplus.
- Managing is concerned with productivity, which implies effectiveness and efficiency.
- Management as a discipline has drawn concepts and principles from Economics, Sociology, Psychology, Anthropology, History, Statistics and so on
- Goal oriented

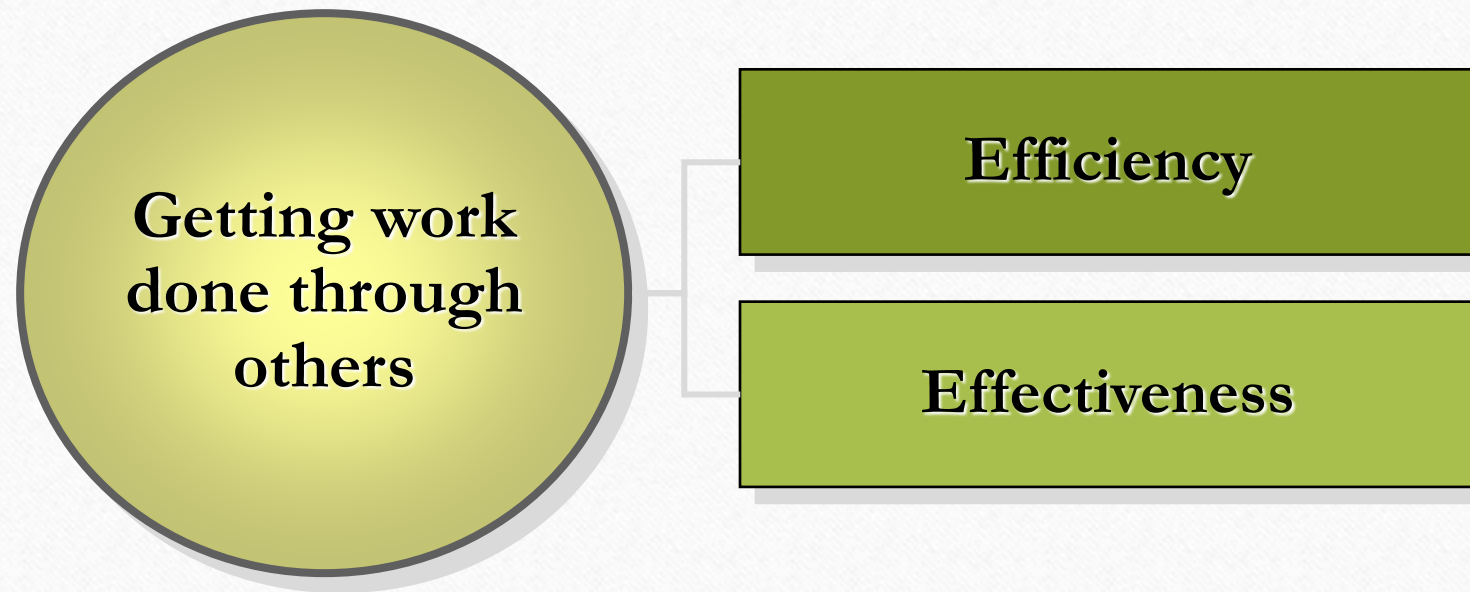


Management is both art and science.

Management has got two faces like a coin; on one side it is art and on the other it is science.

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- Science is a collection of systematic knowledge, collection of truths and inferences after continuous study and experiments. It has fundamental principles discovered. Management has got scientific principles which constitute the elements of Science.
 - Art uses the known rules and principles and uses the skill, expertise, wisdom, experience to achieve the desired result. Skills and talent which are attributes of Art.

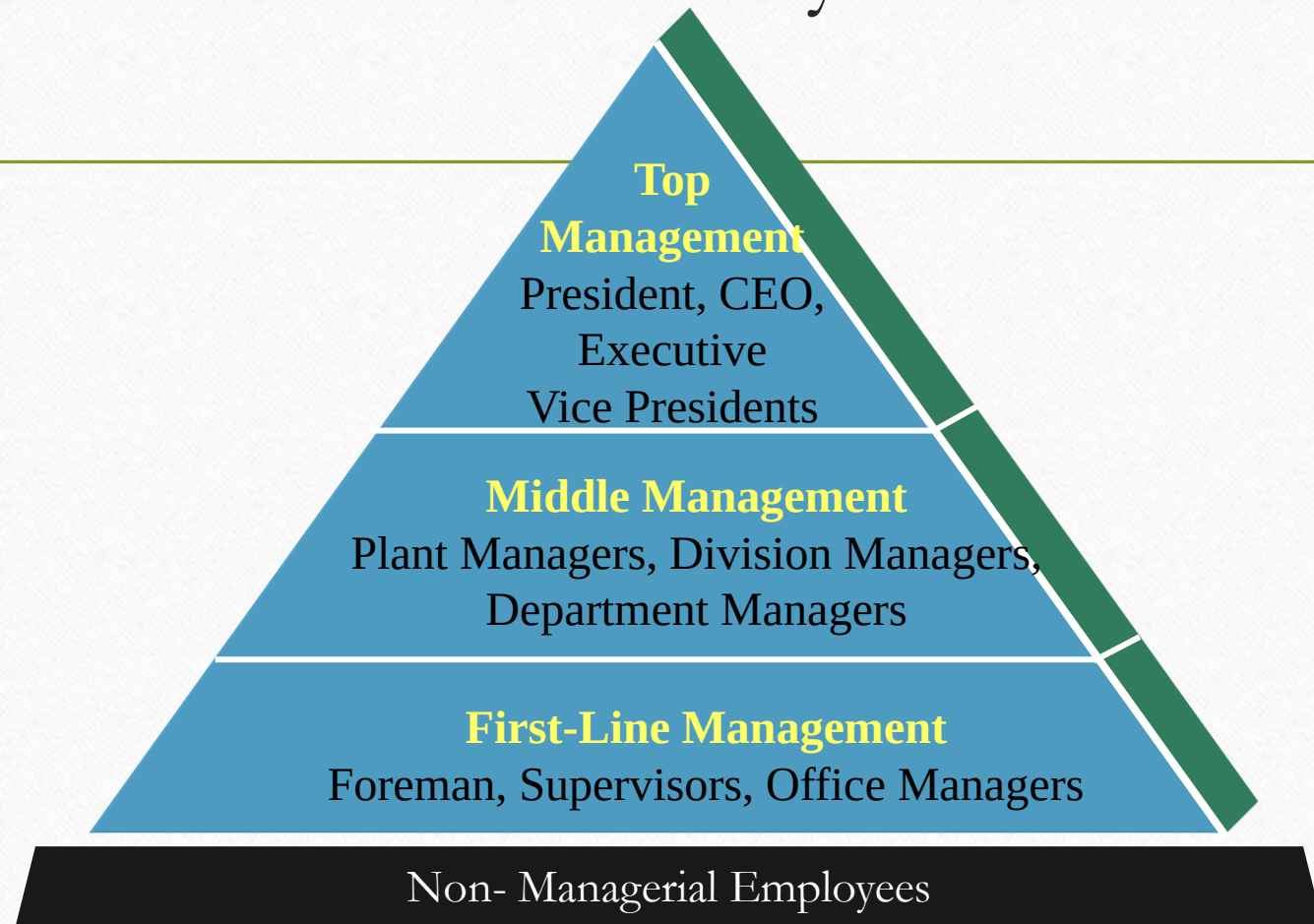
Management is...



Productivity.

- The output-input ratio within a time period with due consideration for quality.
- Is a function of effectiveness and efficiency.
- **Effectiveness**: the achievement of objectives.
- **Efficiency**: the achievement of the ends with least amount of resources.

Levels of management Organizational hierarchy



Levels of management

- **Top Level**
 - Top management sets the mission and goals
 - Develops policies
 - Evaluates the overall performance of various departments, responsible for the business as a whole
 - Concerned mainly with long-term planning

Middle Level

- Middle level management develops departmental goals.
- Executes the policies, plans and strategies determined by top management.
- Develops medium- term plans.
- Supervises and coordinate lower-level managers' activities.

Levels of management

(Supervisory, frontline) Level:

- Lower level management takes charge of day-to-day operations.
- Preparing detailed short-range plans.
- Responsible for smaller segments of the business, executes plans of middle management.
- Guides staff in their own subsections and keep close control over their activities.

Managerial skills

- Technical skills
- Human skills
- Conceptual skills
- Design skills

Technical skills:

- These skills include the knowledge, abilities of and proficiency in activities involving methods, processes and procedures in the relevant fields as accounting, engineering, manufacturing etc.

Or in short:

- The ability to use the knowledge or techniques of a particular discipline to attain ends

Human skills:

- This includes the ability to understand other people and interact effectively with them.
- The human skills are also important in creation of an environment in which people feel secure and free to express their opinions.

In short it is:

- The ability to work with other people in teams.

Conceptual skills

- This refers to the ability to think and conceptualize abstract situations. These abilities are required for making complex decisions.

In short it is:

- The mental capacity to develop plans, strategies and vision.

Design skills(Problem solving skills):

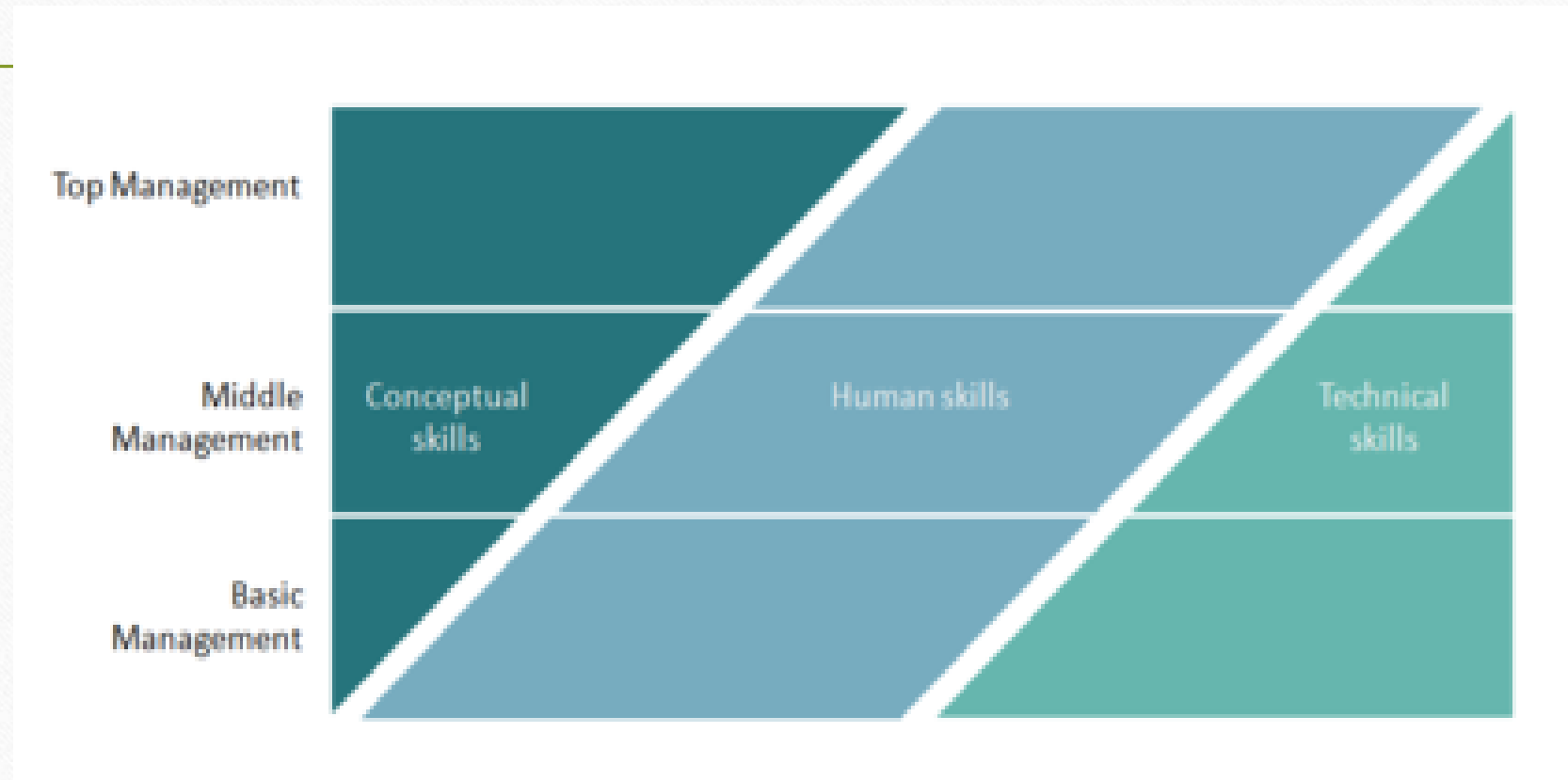
- These skills enable a manager to handle and solve any kind of unforeseen or actual problems, that may crop up in the organization. Such problems could arise due to internal factors or external factors and/or both.

In short it is:

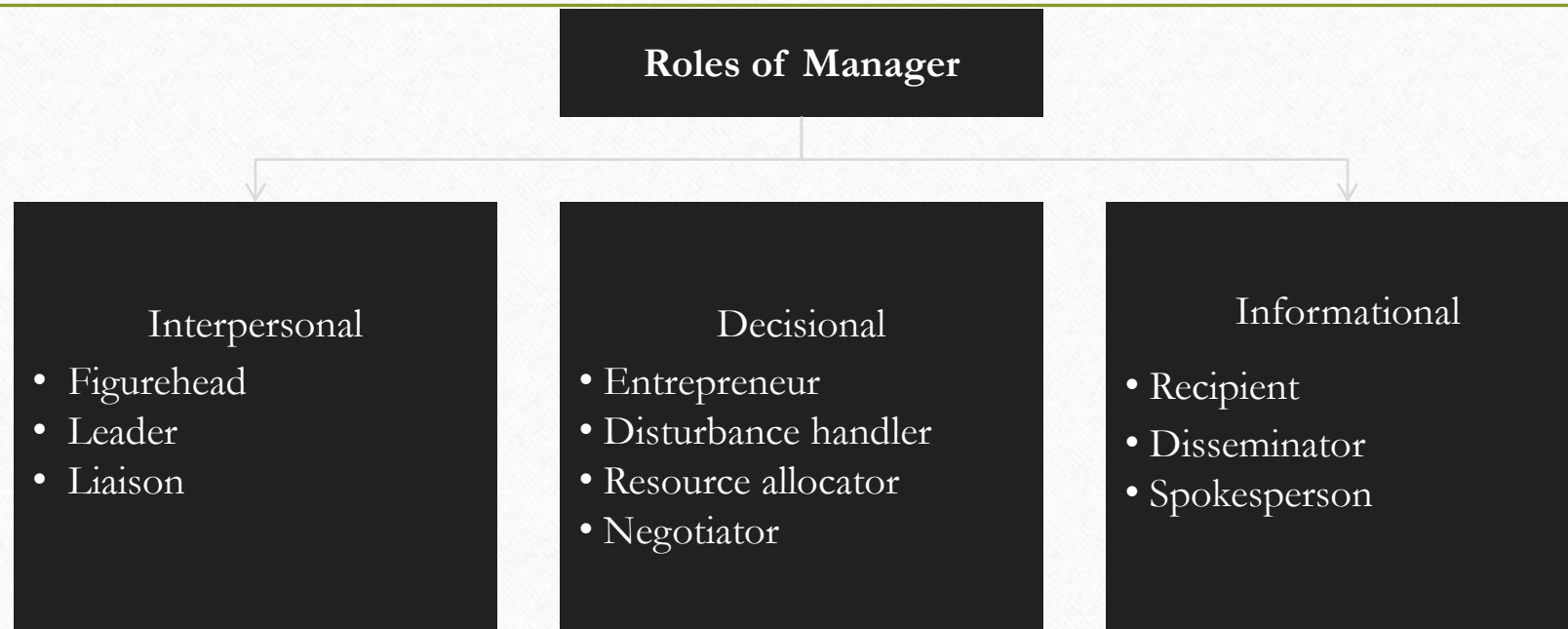
- The problem solving skill



Skill distribution at various management levels



Roles of manager



Inter-personal Role

- **Figurehead:**

Represents the company on social occasions. Attending the flag hosting ceremony, receiving visitors or taking visitors for dinner etc.

- **Leader:**

In the role of a leader, the manager motivates, encourages, and builds enthusiasm among the employees. Training subordinates to work under pressure, forms part of the responsibilities of a manager.

- **Liaison:**

Consists of relating to others outside the group or organization. Serves as a link between people, groups or organization. The negotiation of prices with the suppliers regarding raw materials is an example for the role of liaison.

Decisional Role

- **Entrepreneur**

Act as an initiator and designer and encourage changes and innovation, identify new ideas, delegate idea and responsibility to others.

Disturbance handler

Take corrective action during disputes or crises; resolves conflicts among subordinates; adapt to environmental crisis.

- **Resource allocator**

Decides distribution of resources among various individuals and groups in the organization.

- **Negotiator**

Negotiates with subordinates, groups or organizations- both internal and external.

Represents department during negotiation of union contracts, sales, purchases, budgets; represent departmental interests.

Informational role:

- Recipient

Receives information from the external environment.

- Disseminator

Transmits information received from other employees to members of the organization.

- Spokesperson

Transmits information to the people who are external to the organization, i.e., government, media etc. For instance, a manager addresses a press conference announcing a new product launch or other major deal.